CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E83D418D1
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

From: Brent Hendry <brent.hendry@enron.com>
Sent: Fri, 4 Feb 2000 04:43:00 -0800 (PST)
To: George Frumkin <george.frumkin@enron.com>
Cc: gt@bomchil.com.ar, aem@bomchil.com.ar, Robert C Williams <robert.williams@enron.com>, Michelle Blaine <michelle.blaine@enron.com>
Subject: Meeting at US Embassy

George;

I think that Mr. Tawil■,s report caught the substance of the meeting at the embassy so I will not be adding much more detail. I will echo that everyone attending the meeting seemed very interested in learning more about the stamp tax issue, how the provinces are pursuing the issue, what the government is saying as well as what it is actually doing to solve the issue. In fact they are interested in having everyone at the embassy get up to speed on this issue so that each of them can raise the issue with their counterpart in the Argentine government. As mentioned in Mr. Tawil's report they will review the information that was delivered to them and will likely request additional information from Enron regarding this issue. At one point during the meeting Mr. Thompson asked and left open the question of what else can the Embassy do to help on this issue. They are already trying to raise the general issue of stamp taxes at each level of the government they get the chance to meet with. I would suggest that if we do not hear from either Mr. Thompson or Mr. Climan in the next little while that Enron should request a follow up meeting to discuss the tax issue in more detail.

With respect to the visit of Secretary Daly, they were not sure if the stamp tax issue will be one of the issues the Secretary will have on his agenda but they indicated that it will likely be a topic in other contemporaneous meetings. There will likely be between 15 and 20 companies in the delegation coming with the Secretary. One third will be energy companies, one third will be telecom companies and the other third will be a mix representing other industries.

Mr. Thompson expressed some concern that Enron did not previously notify the Embassy that we had given notice to the Argentine government that we were initiating the 6-month negotiation period under the BIT. They thought that they are most effective in providing help in these types of situations when they are notified at the inception of the dispute while there is time to make a difference. It seems to me that it would still benefit us to establish and maintain contact with the embassy on this issue to keep them informed of the status of the negotiations with the government and, if and when applicable, inform them as to whether we are intending to pursue arbitration.

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My impression from the meeting is that they would be very receptive to more frequent contact regarding not only tax issues but any other issue we may have. It is my understanding from speaking with Jeff Kabel that Mr. Climan has previously expressed a desire to learn more about the energy sector in Argentina and how it works. This may provide us with the opportunity to create a closer relationship with the key personnel at the embassy.

Please feel free to distribute my comments to whoever else you feel should see them.

Regards,
Brent

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